The Reserve Bank's regulation is ownership neutral in the sense that the regulatory norms are uniform as between public and private sector banks. Equity holders in banks, as owners, have rights and responsibilities; there are also rules and established conventions about how those rights may be enjoyed and responsibilities may be redeemed. Problems arise if the government believes and acts as if it has 'ownership' privileges extending beyond those of private owners.

The most conspicuous way in which the government had overstepped its ownership privileges was the way in which it regularly 'advised' public sector banks on how to set their interest rates in response to the Reserve Bank's monetary policy stance. It had almost become a standard practice for the finance minister to call a meeting of the public sector bank chiefs following each monetary policy review of the Reserve Bank and advise them not to raise their lending rates even if the Reserve Bank had tightened the policy rate. This overt repression of monetary policy transmission undermined the Reserve Bank's efforts to contain inflation. As the owner of public sector banks, the government's prerogative to influence the way in which a public sector bank responds to the monetary policy signal of the Reserve Bank is unexceptionable. But that prerogative must be exercised through its nominee directors on the boards of these banks, not through a high-profile meeting in the North Block chaired by the finance minister. I must admit that this happened more during my predecessor Reddy's time than mine.

But I had problems of my own. In 2011–12, D.K. Mittal, who was secretary of the Department of Financial Services, started taking a more activist role in managing public sector banks. He started issuing instructions to these banks on a variety of issues, like cautioning them in raising funds through bulk deposits and asking them to be more restrained in loan restructuring. He also forayed into the regulatory domain by asking public sector banks to convert every banking correspondent (BC) outlet into an 'ultra-small' branch.

In sections of the media, Mittal was praised for his zeal to jolt the 'lethargic' public sector banks into action, while he was also criticized for